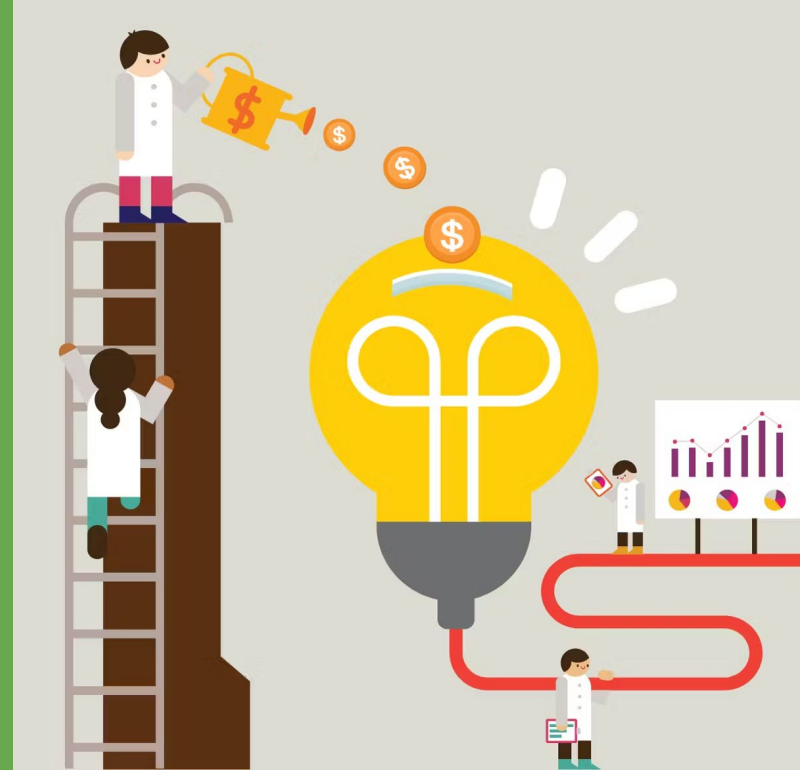


Theories of Entrepreneurship

Module 7



INTRODUCTION

- Business is an economic activity involving the regular production or distribution of goods and services with the objective of earning profits through the satisfaction of human wants.
- Types of business: 1. Service 2. Manufacturing 3. Trade

1. SERVICE INDUSTRY

- A service industry provides people with intangible products or services and completes tasks that are useful to customers, clients, businesses or the general public.
- Service industries, unlike, for example, manufacturing and production industries, do not rely on the sale of material goods and products to earn a profit.
- Instead, the individuals who work in the service sector focus on completing tasks and providing services.

2. MANUFACTURING INDUSTRIES

- The manufacturing industries convert raw materials into finished goods.
- This industry makes use of machinery or labour to manufacture finished goods.
- The economic might of a nation is measured by the development of manufacturing industries.

3. TRADING INDUSTRY

- This industry is concerned with the distribution of products i.e. sale of products , distribution, transfer, exchange of goods to business houses as well as consumers.
- Trading enterprises may be found operating in form of a) Wholesale b) Retail c) Import and export etc

MARKET RESEARCH

- The success or failure of a business plan depends a lot on clarity about the market and marketing plan.
- Having developed a product or service is one side of the coin that does not help in delivering ultimate results unless and until it is backed up by an appropriate marketing strategy to create highly satisfied customers.

IMPORTANCE OF MARKET RESEARCH



STEPS IN MARKET RESEARCH

1. **Problem Definition-** This phase involves a clear and precise definition of the problem. The problem needs to be defined in its entirety and understood well by the whole team that is involved in undertaking marketing research.
2. **Designing a Proper Approach**—The next step involves coming up with an approach that would help solve the problem. This step would involve the research team analysing and examining different factors related to the company' targets, goals and objectives, financial resources, skill sets, manpower, industry environment and changing business trends. This step involves discussions between the research team, experts from the industry and company officials to enable the research team to methodically design a proper approach that pursues the solution to the problem with a wider perspective.

STEPS IN MARKET RESEARCH

3. Developing the Actual Research Design and Strategy—The research design is the fulcrum of the market research process. The success or failure of research effort depends a lot on research design. Therefore, the design needs to be carefully thought out and well executed. It is a detailed blueprint of research that guides the implementation of a research study towards the realization of its objectives. The researcher should specify the specific criteria or variables to be measured, sampling plan and techniques to be used, methods proposed to be used for analysis, cost and time involved in undertaking the study.

STEPS IN MARKET RESEARCH

4. Data Collection—This process involves the collection of data from primary and secondary sources. The main advantages of secondary data are low cost, less effort, time and energy taken to collect them, and at times, they work out to be more accurate and may be the only data source. However, they also have certain limitations such as being collected may not be specifically the information the researcher is looking at, and may be old and outdated.

The research team should first collect the required data from secondary sources such as government reports, economic surveys, Reserve Bank of India Bulletin, World Bank Reports, reports from various ministries, study reports from the Confederation of Indian Industry (CII) and Federation of Indian Chambers of Commerce and Industry (FICCI).

Thereafter, depending on the need, the data should be collected from primary sources. This would require a lot of field-related work such as outdoor interviews, survey campaigns and feedback sessions from the selected sample based on predetermined criteria. This gets done by data collecting agents who might be specifically employed for this purpose. Data collection through primary sources is a great art and requires special skills to ensure that reliable data get collected that help in the findings of the study.

STEPS IN MARKET RESEARCH

5. Analysis and Interpretation of Data—Having collected the required data, they should be organized well and analysed. Data may be processed through certain techniques after being tabulated. The purpose of organizing the data and their analysis is to come up with interpretations that would facilitate decision-making. This would mostly involve activities such as data mining, clustering of data, preparing statistical graphs and curves and the use of typical statistical techniques that can help in analysis and interpretation.

STEPS IN MARKET RESEARCH

6. Interpretation and Presentation of Findings—The final outcome of the steps just mentioned is to present the findings and results of the research in the backdrop of objectives. The whole purpose is to enable the top management to make informed and objective decisions that will enable the achievement of predetermined objectives. Therefore, it is important to present research findings accurately, clearly and relevantly

MARKET SENSING

- Market Sensing is a type of research technique that involves collecting qualitative data through a series of interviews, focus groups and in depth questionnaires designed to help management teams understand the external market in a more effective and efficient style.
- It can yield magnificent results as its main aim is to identify why consumers choose the brand and what are their feeling towards the business.
- Market sensing means that you can understand what your potential and existing consumers really want. And that understanding will, in turn, allow you to position yourself in today's market and succeed.
- Once you start creating products and services based on the characteristics of your consumer base, you will be able not just to gain, but also keep your consumers.

How to Perform Market Sensing Research?

- Make a list of questions that can identify consumers' emotions related to the brand
- Focus an entire section of questions to what people feel towards a brand's core principles, ethos, and culture
- Make sure to find out whether those who have positive emotions towards the brand are more motivated by the quality or by the price

THANK YOU